CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY (CHARUSAT)
Master of Business Administration (MBA)
Post Graduate Diploma in Management (PGDM)
Semester – I University Examination, March - 2018
MB700.3 Managerial Economics (New)
MB700.2 Managerial Economics (Old)

Date: 26.03.2018, Monday **Time: 01:30 P.M. to 04:30 P.M.** **Maximum Marks: 70**

Instructions:

1. This paper contains six questions, of which the last one is a case analysis.
2. All questions are compulsory.
3. The first five questions will carry 10 marks each and the last one (case analysis) will carry 20 marks.

Q - 1 "Understanding the principles of economics lays the foundation for the course *Managerial Economics*." Explain any four principles of economics in detail with suitable examples. **10**

Q - 2 "Law of demand and supply are dependent on various factors." Explain the given statement in light of various factors affecting demand and supply of goods with suitable examples. **10**

Q - 3 "Different costs and revenue tells different stories about market structure." Elaborate the given statement by explaining in detail any two market structures with special reference to costs and revenue. **10**

Q - 4 Determine the amount of producer surplus generated in each of the following situations. Also define and explain the factors affecting consumer and producer surplus in detail. **10**

a. Sanket lists his old electric trains on eBay. He sets a minimum acceptable price, known as his reserve price, of Rs. 75. After five days of bidding, the final high bid is exactly Rs. 75. He accepts the bid.

b. Kiran advertises her car for sale in the used-car section of the student newspaper for Rs. 2,000, but she is willing to sell the car for any price higher than Rs. 1, 500. The best offer she gets is Rs. 1,200, which she declines.

c. Sanjay likes his job so much that he would be willing to do it for free. However, his annual salary is Rs. 80,000.

Q - 5 Define the following terms with suitable example: **10**

a. Equity
b. Efficiency
c. Deadweight loss
d. Opportunity cost
e. Sunk cost
f. Accounting profit
g. Economic profit
h. Externalities
i. Cross elasticity
j. Income elasticity

Q - 6 Read the given case carefully and given answer to the question given below: **20**

The main civil use of uranium is to fuel nuclear power plants. Nuclear power plants provide electricity at a high fixed cost, but very low marginal cost. By contrast, plants fuelled by natural gas have relatively lower fixed costs, but higher marginal costs. In the late 1990s, although Western consumption exceeded production by 30,000 metric tons per year, the price of uranium fell owing to estimated Russian stockpiles of 545,000 tons.

Source: Big Uranium Stockpiles in Russia Help Supply to Outstrip Demand, Asian Wall Street Journal, September 11-12, 1998, p. 23.

a. Draw a supply curve for electricity, showing the positions of nuclear vis-à-vis gas-fuelled electric power.
b. On the same figure as in (a), explain why electric power generators tend to use nuclear plants to service their base load, and meet fluctuations in demand by gas-fuelled rather than nuclear plants.
c. Why is the short-run demand for uranium relatively inelastic?
d. What does the long gestation period of nuclear power plants imply for the difference in time between the short and long runs in the demand for uranium?